BUILDING A LOGISTICS SPEEDWAY

By investing in infrastructure, enhancing data visibility, and optimising Digital Public Infrastructure and asset use, India can build a world-class logistics sector



As India charts its course towards becoming a global economic powerhouse, the logistics sector emerges as a critical driver of this ambition. The efficient movement of goods and services across the country and beyond its borders is not merely a facilitator of economic growth but a fundamental catalyst. To truly unlock its potential and achieve the status of a 'Viksit Bharat' by 2047, India will have to continue its logistics revolution by focusing on four key areas—continuing the focus on infrastructure development, outsourcing and development of 3PL and 4PL service providers (3PL or third-party logistics manages tasks like transportation, warehousing and order fulfillment for businesses, and 4PL or fourth-party logistics oversees the entire supply chain, coordinating multiple 3PLs and providing strategic management), optimum utilisation of assets and usage of Digital Public Infrastructure (DPI).

Leveraging the infra backbone: The focus on infrastructure development is already setting in motion the logistics revolution. The government has demonstrated its strong commitment through the implementation of various initiatives like the Bharatmala Pariyojana, the Dedicated Freight Corridor project and the Sagarmala scheme. These projects aim to create a seamless, multimodal transportation network that will significantly reduce logistics costs and improve efficiency.

Recent budgets have consistently allocated substantial funds for capital expenditure, with a focus on infrastructure development. The 2024 budget alone allocated Rs 11.11 lakh crore. This investment has a multiplier effect on the economy, benefiting various sectors, including logistics and supply chain operations. In logistics, this will help in reducing the turnaround times in road and other sectors which will help in reducing lead times, especially, for perishable goods. In the shipping sector,

THE GIANT STEPS

- Continue the focus on infrastructure development; the Bharatmala Pariyojana, dedicated freight corridors and the Sagarmala scheme will significantly reduce logistics costs and improve efficiency
- Execute outsourcing effectively and cost-efficiently. It will reduce the cost of doing business and the carbon footprint
- Embrace cutting-edge technologies which can optimise logistics operations and maintain competitiveness
- In shipping, the turnaround time has reduced to 2 to 3 days but to be world-class, we need to be better than the USA at 1 day and Japan at 0.32 day

Illustration by **NILANJAN DAS**